Books such as this are not written, much less widely read and recommended, when markets are presenting buying opportunities amid gloom and pessimism. They are written and read at tops, both of the trends they address and the social mood that produced them.

Using Fundamentals in a Technical Analysis

Because "fundamentals" are the *product* of the psychology that propels markets, their state of health as compared to that in previous waves should reflect the relative technical power of those waves. For example, as stated just before the start of Chapter 9, "the key to knowing whether a bull market advance is truly a fifth wave is to compare its quality, in action (technicals) and foundation (fundamentals), to that within the supposed third wave. If an improvement is clearly evident, it is probably not a fifth. If the wave is less impressive both technically and fundamentally, then a fifth it is." Chapter 9 showed that the bull market from 1974 displays the characteristics of a fifth wave from the standpoint of its technical aspects. Is the same thing true of the fundamentals? Let's compare wave V to wave III.

An objective contrast of the 1974-1995 period to the 1942-1965 period shows that wave III was built upon a more solid foundation in terms of interest rates (2%-4%), trade balance (flat to favorable), federal deficits (small), banking system soundness (no crises and few bankruptcies), and the overall level of outstanding debt (very small). Because background conditions since 1982 have been a great improvement over those of the *1970s*, people miss this very important comparison. Nor is this difference merely something observed in retrospect. *The Elliott Wave Theorist* specifically forecasted in 1982 that the bull market would be accompanied by "*moderately* improving prosperity" as compared to wave III. As every political party that is out of office has reminded us since, the economic expansion has not been as deep and broad as many in the past.

The same contrast can be made at the Grand Supercycle level. The bull market of 1932 to the present, wave (V), has not had the same powerful fundamental environment favoring business and production as did wave (III) from 1842/1857 to 1929. It is not coincidence that the period of laissez-faire capitalism from 1784 to 1929, when a low tax, regulation-free atmosphere prevailed, produced a rise in value of the productive capacity of the U.S. of over 11,000% measured in constant dollars, as revealed in Figure 3-3. Nor is it coincidence that the measly 45% gain (a mere 23% when adjusted